

25SMCV06574 25SMCV06574

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Case Number: 25SMCV06574 Hearing Date: July 16, 2026 Dept: N

TENTATIVE RULING

Defendant Mercedes-Benz Financial Services USA LLC's Demurrer to Plaintiff's First Amended Complaint is SUSTAINED without leave to amend.

Defendant Mercedes-Benz Financial Services USA LLC shall prepare, serve, and submit a proposed judgment as per statute.

Defendant Mercedes-Benz Financial Services USA LLC to give notice.

REASONING

Defendant Mercedes-Benz Financial Services USA LLC ("Defendant") demurs to each claim stated in Plaintiff Anthony Jones ("Plaintiff")'s First Amended Complaint ("FAC") on the grounds that they fail to state facts sufficient to constitute a cause of action against Defendant.

Legal Standard

"[A] demurrer tests the legal sufficiency of the allegations in a complaint." (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) A demurrer can be used only to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. (See Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994 [in ruling on a demurrer, a court may not consider declarations, matters not subject to judicial notice, or documents not accepted for the truth of their contents].) For purposes of ruling on a demurrer, all facts pleaded in a complaint are assumed to be true (Aubry v. Tri-City Hosp. Dist. (1992) 2 Cal.4th 962, 967), but the Court does not "assume the truth of contentions, deductions, or conclusions of fact or law" (Moore v. Regents of University of California (1990) 51 Cal.3d 120, 125).

Leave to amend must be allowed where there is a reasonable possibility of successful amendment. (See Goodman v. Kennedy (1976) 18 Cal.3d 335, 349 [court shall not "sustain a demurrer without leave to amend if there is any reasonable possibility that the defect can be cured by amendment"]; Kong v. City of Hawaiian Gardens Redevelopment Agency (2002) 108 Cal.App.4th 1028, 1037 ["A demurrer should not be sustained without leave to amend if the complaint, liberally construed, can state a cause of action under any theory or if there is a reasonable possibility the defect can be cured by amendment."]; Vaccaro v. Kaiman (1998) 63 Cal.App.4th 761, 768 ["When the defect which justifies striking a complaint is capable of cure, the court should allow leave to amend."].) The burden is on the complainant to show the Court that a pleading can be amended successfully. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.)

First Cause of Action: Equitable Accounting

"A cause of action for an accounting requires a showing that a relationship exists between the plaintiff and defendant that requires an accounting, and that some balance is due the plaintiff that can only be ascertained by an accounting. An action for accounting is not available where the plaintiff alleges the right to recover a sum certain or a sum that can be made certain by calculation." (*Teselle v. McLoughlin* (2009) 173 Cal.App.4th 156, 179, citations and paragraph break omitted.)

In the first cause of action, Plaintiff alleges that Defendant received and controls the records relating to Plaintiff's payments on a specified account and the application of those payments, and Plaintiff cannot determine how his payments were applied without a court-ordered accounting, such that an accounting is necessary to determine how payments were applied and whether Defendant has obtained or seeks a double recovery. (FAC ¶¶ 20-23.) It follows that Plaintiff's accounting claim is simply one seeking information about the application of his payments, not that he is owed any money by Defendant or that they wrongfully applied his payments, i.e., Plaintiff fails to allege that some balance is due to him. Plaintiff's opposition sheds no light on why this claim should proceed. Accordingly, Defendant's demurrer to the first cause of action is SUSTAINED without leave to amend.

Second Cause of Action: Restitution / Unjust Enrichment

"The elements for a claim of unjust enrichment are receipt of a benefit and unjust retention of the benefit at the expense of another. The theory of unjust enrichment requires one who acquires a benefit which may not justly be retained, to return either the thing or its equivalent to the aggrieved party so as not to be unjustly enriched." (*Lyles v. Sangadeo-Patel* (2014) 225 Cal.App.4th 759, 769, quotation marks and citations omitted.)

In the second cause of action, Plaintiff alleges that Defendant knowingly accepted payments from Plaintiff, a non-lessee and nonobligor, and Defendant is now asserting the right to retain both the vehicle and Plaintiff's funds without providing credit, set-off, or accounting, such that retention of both the collateral and Plaintiff's payments is inequitable and unjust. (FAC ¶¶ 25-26.) Notably, "[u]njust enrichment is not a cause of action"; it is simply "a restitution claim." (*Hill v. Roll International Corp.* (2011) 195 Cal.App.4th 1295, 1307; see also *Melchior v. New Line Productions, Inc.* (2003) 106 Cal.App.4th 779, 793 ["there is no cause of action in California for unjust enrichment"].) Moreover, Plaintiff alleges that he voluntarily made the payments to Defendant on a third party's lease for a vehicle (FAC ¶ 9), and it is unclear why Defendant's retention of those payments would be unjust, particularly where Plaintiff appears to assert that the account was terminated for nonpayment (FAC ¶ 13). Further, given that Plaintiff alleges he was not a party to the lease agreement, there is no basis to conclude that he has standing to assert an unjust enrichment claim as it relates to the vehicle. Thus, Defendant's demurrer to the second cause of action is also SUSTAINED without leave to amend.

Third Cause of Action: Declaratory Relief

"To qualify for declaratory relief, a party would have to demonstrate its action presented two essential elements: (1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to the party's rights or obligations." (*Jolley v. Chase Home Finance, LLC* (2013) 213 Cal.App.4th 872, 909, quotation marks and brackets omitted.)

A cause of action for declaratory relief should not be used as a second cause of action for the determination of identical issues raised in another cause of action. (*General of America Insurance Co. v. Lilly* (1968) 258 Cal.App.2d 465, 470.) "The availability of another form of relief that is adequate will usually justify refusal to grant declaratory relief" (*California Insurance Guarantee Association v. Superior Court* (1991) 231 Cal.App.3d 1617, 1624), and a duplicative cause of action is subject to demurrer (*Palm Springs Villas II Homeowners Association, Inc. v. Parth* (2016) 248 Cal.App.4th 268, 290).

In the third cause of action, Plaintiff seeks a judicial declaration as to whether Defendant may retain Plaintiff's payments after termination when Plaintiff is not the lessee or obligor, whether Defendant must provide a complete accounting, and whether Defendant must credit Plaintiff's payments against the vehicle's present value and avoid double recovery. (FAC ¶ 29.) For the

reasons stated above, the nature of Plaintiff's claim remains unclear, i.e., Plaintiff fails to allege any facts showing wrongful retention of the lease payments made by Plaintiff or that he has standing to challenge Defendant's retention of the vehicle due to nonpayment. Accordingly, Defendant's demurrer to the third cause of action is also SUSTAINED without leave to amend.

Fourth Cause of Action: Conversion – Money – Alternative

"Conversion is the wrongful exercise of dominion over the property of another. The elements of a conversion claim are: (1) the plaintiff's ownership or right to possession of the property; (2) the defendant's conversion by a wrongful act or disposition of property rights; and (3) damages." (Lee v. Hanley (2015) 61 Cal.4th 1225, 1240.)

In the fourth cause of action, Plaintiff alleges that he paid money directly to Defendant for the vehicle and the account, Defendant exercised dominion and control over Plaintiff's funds by retaining them under a forfeiture and termination theory lacking lawful justification as applied to a non-lessee, and Defendant's conduct substantially interfered with Plaintiff's property rights in his funds. (FAC ¶¶ 31-33.) Again, though, Plaintiff alleges that he made payments on a third party's account voluntarily (FAC ¶ 9), and there are no facts showing that Defendant wrongfully retained those funds when they were said to be for payments owed on the account. It would seem that Plaintiff takes issue with paying more than the market value for the vehicle in these payments (FAC ¶¶ 15-16), but this is not a basis for a conversion claim. Thus, Defendant's demurrer to the fourth cause of action is SUSTAINED without leave to amend.

Fifth Cause of Action: Unfair Business Practices – Bus. & Prof. Code § 17200

To set forth a claim for a violation of Business and Professions Code section 17200, Plaintiff must establish Defendant was engaged in an "unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising" and certain specific acts. (Bus. & Prof. Code, § 17200.) A cause of action for unfair competition "is not an all-purpose substitute for a tort or contract action." (Cortez v. Purolator Air Filtration Products Co. (2000) 23 Cal.4th 163, 173.)

In the fifth cause of action, Plaintiff alleges that Defendant engaged in unlawful and unfair business acts by accepting substantial third-party payments from non-obligors, refusing transparent accounting of payment application and credits, and asserting retention of both collateral and third-party funds without lawful crediting practices. (FAC ¶ 35.) The nature of any unlawful business practice is unclear because Plaintiff alleges that he voluntarily paid on a third party's account, there is no legal authority stating that an entity like Defendant, or any other recipient, cannot accept, retain, and credit a payment made on an account by a third party, and there is no basis to conclude that Defendant wrongfully retained the payments or the vehicle, for the reasons stated above. Accordingly, Defendant's demurrer to the fifth cause of action is also SUSTAINED without leave to amend.

For the reasons stated herein, Defendant Mercedes-Benz Financial Services USA LLC's Demurrer to Plaintiff's First Amended Complaint is SUSTAINED without leave to amend. Defendant Mercedes-Benz Financial Services USA LLC shall prepare, serve, and submit a proposed judgment as per statute.